

25VECV04584 25VECV04584

County: los-angeles
Division: Civil Law and Motion
Department: O
Hearing date: 2026-08-03
Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=NW%20%2CO%2C08%2F03%2F2026
Source SHA-256: 09fb4fd6b3d62be0b8bb2bba19f22db0125920156e3dfc21d3d1e519bb0a2a08

Case Number: 25VECV04584 Hearing Date: August 3, 2026 Dept: O

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

BROWN STRAUSS, INC., a Delaware corporation,

Plaintiff,

vs.

CTM IRON WORKS, INC. a California Corporation; JUAN CARLOS MENA RODRIGUEZ, an individual; ASSOCIATED CONSTRUCTION LLC a California limited liability company; 6801 CANOGA LLC a California limited liability company; EPIC INVESTMENT LLC, an unknown entity; PARKVIEW FINANCIAL LLC a California limited liability company; PARKVIEW FINANCIAL 2020 LP, a Delaware limited partnership; PARKVIEW 2020 FCC LLC an unknown entity; PARKVIEW FINANCIAL REIT LP a Delaware limited partnership; PARKVIEW REIT FCC LLC an unknown entity; and DOES 1 through 150, Inclusive.

Defendants.

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

CASE NO.: 25VECV04584

Related to: 26VECV00008

ORDER SUSTAINING DEFENDANT SURETEC INSURANCE COMPANY'S DEMURRER WITH LEAVE TO AMEND

ORDER GRANTING DEFENDANT SURETEC INSURANCE COMPANY'S MOTION TO STRIKE

I. BACKGROUND

Plaintiff Brown Strauss, Inc. ("Plaintiff") filed this breach of contract action against CTM Iron Works, Inc. ("CTM"); Juan Carlos Mena Rodriguez (dismissed on April 14, 2026); Associated Construction LLC ("Associated Construction"); 6801 Canoga LLC ("6801 Canoga"); Epic Investment LLC; Parkview Financial LLC (dismissed on January 13, 2026); Parkview Financial 2020 LP (dismissed on January 13, 2026); Parkview 2020 FCC LLC (dismissed on April 28, 2026); Parkview Financial Reit LP (dismissed on January 13, 2026); and Parkview Reit FCC LLC (dismissed on April 28, 2026).

Plaintiff alleges CTM entered a contract to furnish construction materials for a project at 6801-6815 Canoga Avenue (the "Project"). Plaintiff alleges it entered into a credit application agreement with CTM and CTM breached the contract by failing to pay the sum then due and owing in the amount of approximately \$80,929.99.

On February 3, 2026, Plaintiff designated Doe 101 as Suretec Insurance Company ("Suretec").

Suretec now demurs and moves to strike portions of the Complaint.

II. PROCEDURAL HISTORY

On August 14, 2025, Plaintiff filed a Complaint alleging (1) Breach of Contract, (2) Quantum Meruit, (3) Account Stated, (4) Open Book Account, (5) Breach of Personal Guaranty, (6) Foreclosure of Mechanic's Lien, and (7) Enforcement Against Mechanic's Lien Release Bond.

On November 3, 2025, 6801 Canoga filed an Answer.

On November 26, 2025, Associated Construction filed an Answer.

On February 3, 2026, Plaintiff designated Doe 101 as Suretec Insurance Company.

On March 24, 2026, CTM filed an Answer and Cross-Complaint alleging (1) Foreclosure of Mechanic's Lien, (2) Breach of Contract, (3) Common Counts – Open Book Account, (4) Common Counts – Account Stated, and (5) Common Counts – Reasonable Value.

On April 1, 2026, the Court related this action with Case No. 26VECV00008.

On April 13, 2026, Plaintiff dismissed his sixth cause of action for foreclosure of mechanic's lien.

On April 21, 2026, CTM dismissed the first cause of action for foreclosure of mechanic's lien.

On July 7, 2026, Suretec filed the instant Demurrer with Motion to Strike.

As of July 31, 2026 no opposition has been filed.

III. MEET AND CONFER

Before filing a demurrer or motion to strike, the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer or motion to strike for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer or motion to strike. (See Code Civ. Proc. § 430.41(a), §435.5(a).)[1] A declaration must be filed with a demurrer regarding the results of the meet and confer process. (See Code Civ. Proc. § 430.41(a)(3).)

Suretec's counsel attests she met and conferred with Plaintiff's counsel by email and telephone concerning their deadline to file a responsive pleading and the grounds for this demurrer and motion to strike. (See Declaration of Jennifer Ordonez filed July 7, 2026, ¶¶ 7-9, 20.) Thus, Suretec has complied with its meet and confer obligation.

///

///

IV. DEMURRER

A. Legal Standard

A demurrer may be brought if insufficient facts are stated to support the cause of action asserted. (See Code Civ. Proc. § 430.10(e).) "[T]he court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded." (Id.) Allegations are to be liberally construed. (See Code Civ. Proc. § 452.) In testing the sufficiency of the complaint, the court must assume the truth of (1) the properly pleaded factual allegations; (2) facts that can be reasonably inferred from those expressly pleaded; and (3) judicially noticed matters. (See *Blank v. Kirwan*, (1985) 39 Cal.3d 311, 318.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (See *SKF Farms v. Superior Court*, (1984) 153 Cal.App.3d 902, 905.) A demurrer can only be sustained when it disposes of an entire cause of action. (See *Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court a pleading can be amended successfully. (See id.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245.)

B. Analysis

1. Breach of Contract

To state a cause of action for breach of contract, Plaintiff must be able to establish “(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

If a breach of contract claim “is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference.” (Harris v. Rudin, Richman & Appel (1999) 74 Cal.App.4th 299, 307.)

Suretec demurs to the first cause of action on grounds the Complaint does not allege any contract where Suretec was a party thereto. (See Dem. at 9:9:22-26.)

The Court agrees and finds the Complaint fails to allege a contract between Plaintiff and Suretec. The Complaint alleges only a contract between Plaintiff and CTM. (See Compl., ¶¶ 19, 20.) Accordingly, the Court SUSTAINS Suretec’s Demurrer to the First Cause of Action for Breach of Contract WITH LEAVE TO AMEND.

2. Quantum Meruit

“[T]o recover under a quantum meruit theory, a plaintiff must establish both that he or she was acting pursuant to either an express or implied request for such services from the defendant and that the services rendered were intended to and did benefit the defendant.” (Day v. Alta Bates Medical Center (2002) 98 Cal.App.4th 243, 248.)

Suretec argues the second cause of action fails to state a claim against it because it never requested services from nor did it benefit from services provided by Plaintiff. (See Dem. at 10:20-22.)

Here, the Complaint alleges CTM entered a contract to provide construction materials for a project. (See Compl., ¶ 19.) The Complaint alleges CTM and Plaintiff entered into a contract in the form of a credit application to provide the equipment and materials necessary to complete a portion of the project. (See id., ¶ 20.) The Complaint alleges CTM ordered additional work from Plaintiff and promised to pay but CTM subsequently breached the contract by failing to pay the outstanding sum. (See id., ¶¶ 21-23.) “Within the last four years, [Plaintiff]...at the...request of Defendants... and their promise to pay the reasonable value thereof...furnished materials and equipment...which were actually used in [the Project].” (Id., ¶ 27.) The Court finds the Complaint fails to state a claim against Suretec as it fails to allege that the alleged services were intended to and did benefit Suretec.

The Court SUSTAINS Suretec’s Demurrer to the Second Cause of Action for Quantum Meruit WITH LEAVE TO AMEND.

3. Account Stated

"The essential elements of an account stated are: (1) previous transactions between the parties establishing the relationship of debtor and creditor; (2) an agreement between the parties, express or implied, on the amount due from the debtor to the creditor; [and] (3) a promise by the debtor, express or implied, to pay the amount due." (Zinn v. Fred R. Bright Co. (1969) 271 Cal.App.2d 597, 600; see CACI 373.)

Suretec argues the third cause of action fails to state a claim because Plaintiff does not allege it had an implicit or explicit agreement with Suretec. (See Dem. at 11:9-10.) Suretec argues the Complaint only alleges an account between CTM and Plaintiff. (See id., at 11:10-16.)

The Court finds the Complaint fails to state a claim for account stated against Suretec as none of the requisite elements are alleged. Moreover, the Complaint only alleges an account was stated between Plaintiff and CTM with a balance of \$80,929.99. (See Compl., ¶ 31.) Thus, the Court SUSTAINS Suretec's Demurrer to the Third Cause of Action for Account Stated WITH LEAVE TO AMEND.

4. Open Book

To allege a cause of action for open book account the proponent must allege the following elements: (1) existence of a principal record of one or more transactions, (2) that entries were made in the regular course of business, and (3) the record was kept in a reasonably permanent form and manner. (See Tsemetzin v. Coast Federal Savings & Loan Assn. (1997) 57 Cal.App.4th 1334, 1343.)

Suretec demurs to this claim on grounds that the Complaint only alleges an account existed between CTM and Plaintiff. (See Dem. at 12:18-21.)

The Court finds the Complaint fails to state a claim for open book against Suretec as the Complaint fails to allege any requisite elements. Here, the Complaint alleges CTM "became indebted to [Plaintiff] on an open book account" and no part of the balance has been paid although demand has been made. (See Compl. ¶¶ 34-35.) There are no allegations of a transaction between Suretec and Plaintiff or that Plaintiff kept an account of the debits and credits involved in those transactions, or that Suretec now owes Plaintiff an amount according to the account. Thus, the Court the Court SUSTAINS Suretec's Demurrer to the Fourth Cause of Action for Open Book WITH LEAVE TO AMEND.

5. Breach of Personal Guaranty

The elements for breach of guaranty are "(1) there is a valid guaranty, (2) the borrower has defaulted, and (3) the guarantor failed to perform under the guaranty." (Gray1 CPB, LLC v. Kolokotronis (2011) 202 Cal. App. 4th 480, 486.)

Suretec argues the fifth cause of action fails to allege that Suretec provided a personal guaranty to Plaintiff. (See Dem. at 13:1-2.)

The Court finds the fifth cause of action fails to state a claim against Suretec. Here, the Complaint alleges Juan Carlos Mena Rodriguez executed a guaranty in favor of Plaintiff. (See Compl., ¶ 40.) The Complaint does not allege Suretec executed any guaranty in favor of Plaintiff. Thus, the Court SUSTAINS Suretec's Demurrer to the Fifth Cause of Action for Breach of Personal Guaranty WITH LEAVE TO AMEND.

V. MOTION TO STRIKE

A. Legal Standard

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (See Code Civ. Proc. § 436(a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (See id. at § 436(b).) This provision is for “the striking of a pleading due to improprieties in its form, or in the procedures pursuant to which it was filed.” (Ferraro v. Camarlinghi, (2008) 161 Cal.App.4th 509, 528 [emphasis in original].) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (See Code Civ. Proc. at § 437.)

B. Analysis

Defendant moves to strike allegations requesting attorney's fees set forth in Plaintiff's seventh cause of action for enforcement of mechanic's lien release bond and the Complaint's prayer for attorney's fees. Defendant argues Plaintiff is not entitled to recover attorney's fees because there is no contract, statute, or exceptional circumstance that allows for such recovery. (See Mot. at 4:22-23, 5:16-18.) Defendant argues the statute governing a mechanic's lien release bond's liability, Civil Code § 8424, contains no language allowing for recovery of attorney's fees. (See id., at 6:5.)

The Court will grant the Motion. “In the absence of some special agreement, statutory provision, or exceptional circumstances, attorneys' fees are to be paid by the party employing the attorney.” (Prentice v. North American Title Guaranty Corp., Alameda Division, (1963) 59 Cal.2d 618, 647.) Here, the Complaint's seventh cause of action cites Civil Code 8424, which does not provide for recovery of attorney's fees. (See Civil Code § 8424; Compl., ¶ 54, 58.) There is no other alleged basis supporting a claim for attorney's fees.

Thus, the Court GRANTS Suretec's Motion to Strike WITH LEAVE TO AMEND.

VI. CONCLUSION

Based on the foregoing, the Court SUSTAINS Suretec's Demurrer WITH LEAVE TO AMEND. The Court GRANTS Suretec's Motion to Strike WITH LEAVE TO AMEND.

Plaintiff has leave to file an amended complaint until August 17, 2026.

IT IS SO ORDERED.

DATED: August 3, 2026

Hon. Michael R. Amerian

Judge, Superior Court

[1] All statutory references are to California codes unless stated otherwise.